

“formidable raider and financial tactician,” said that Icahn “combined an extraordinary intellect with a battering-ram personality to exploit a glaring weakness in the American corporate establishment, earning enormous sums as he attacked the likes of Tappan.” At the zenith of his influence in the 1980s, he controlled billions in capital and his reach extended to the giants of the public markets, including Texaco, the “Big Red Star of the American Highway” for which he bid \$12.4 billion, and U.S. Steel, the world’s first billion-dollar corporation, then sporting a market capitalization of \$6 billion. Other investors took notice, and a cottage industry of so-called corporate raiders sprang up. For a brief period, news of their exploits would extend beyond the business pages and into popular culture, most notably in Michael Douglas’s character Gordon Gecko in *Wall Street* (1987), Richard Gere’s Edward Lewis in *Pretty Woman* (1990), and Danny DeVito’s Larry “The Liquidator” Garfield in *Other People’s Money* (1991), notable for a memorable scene in which DeVito draws Graham’s net current asset value formula on a blackboard. Their influence waxed and waned with the market. Following the 1987 stock market crash, they gradually retreated again from the public consciousness.

A new breed of activist investors emerged in the wake of the dot-com bust in the early 2000s, chasing the cashed-up failures of the information technology and communications boom. As Evans and Icahn had before them, the new activist investors rediscovered the power of the public media campaign, the proxy contest, and the tender offer. The new activists moved in some cases to civilize shareholder activism, allowing institutionalization that attracted new capital, and rendered countless new innovations, from web-based campaigns and “public” private equity. Others resisted civilization and institutionalization, maintaining the freebooting ways and anti-glamour machismo of their corporate raider forebears. Perhaps it is a necessary response to the goings on in the stocks found in the netherworld of the market. Far from the glare of analysts and the media, blatant fraud, outright theft, and flagrant oppression of minority investors flourishes. The sheriffs on this frontier are the activists and short sellers, and who can blame them if *the horror, the horror* drives them to write Hunter S. Thompson *Gonzo*-style poison-pen letters, drafted as if Mistah Kurtz had to file his “Exterminate all the brutes!” pamphlet with the SEC.

Icahn’s evolution from liquidator to corporate raider reflected the underlying philosophical shift in the broader world of value investment and shareholder activism. Graham’s approach, which identified targets by their discount to liquidation value, was appropriate to the time and extremely effective, but those opportunities had largely disappeared from the investment landscape by the 1980s. In response, modern activists have adapted, employing a wider lens to assess value and exploiting a broader array of